

The Effect of Expected Income on Individual Migration Decisions

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Roadmap

- 1 Background on Migration
- 2 Story & Key Findings
- 3 Data
- 4 Empirical Strategy
- 5 Results
- 6 Alternative Specifications
- 7 Conclusion

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Models of Migration

- Migration models are used to estimate how and why agents move within an economy
- Typically used to look at isolated migration events, which may be too shallow of a viewpoint

Contribution (Short Discussion)

- **What's new:** Develops a tractable econometric model focusing on expected income's influence on migration which allows for dynamic decision making
- **Why it matters:** Adds possibility of both repeat and return migration, creating a context for this model to solve a job-search problem
- Using data from NLSY, gain an understanding of the motives behind and patterns exhibited by movers in the framework of this model

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Paper's Story / Key Findings

- The paper aims to look at white men with high school education, utilizing the NLSY to track agents through time
- Expected income prospects are a major contributor to interstate migration decisions
- Further, there is evidence of geographic factors taking place once income realization is met, and the current location is found to be suboptimal
- **Key quantitative takeaways**
 - Value of moving from a bad location to a good one equates to a \$17,000 per year
 - Moving is mostly decided by fit of draw: if good, they stay; if bad: they try again, incurring a cost

Moving Statistics

TABLE I
INTERSTATE MIGRATION, NLSY 1979–1994^a

	Less Than High School	High School	Some College	College	Total
Number of people	322	919	758	685	2,684
Movers (age 18–27)	80	223	224	341	868
Movers (%)	24.8%	24.3%	29.6%	49.8%	32.3%
Moves per mover	2.10	1.95	1.90	2.02	1.98
Repeat moves (% of all moves)	52.4%	48.7%	47.4%	50.5%	49.5%
Return migration (% of all moves)					
Home	32.7%	33.1%	29.1%	23.2%	28.1%
Not home	15.5%	7.1%	6.8%	8.6%	8.4%
Movers who return home	61.3%	56.5%	51.3%	42.8%	50.2%

^aThe sample includes respondents from the cross-section sample of the NLSY79 who were continuously interviewed from ages 18 to 28 and who never served in the military. The home location is the state of residence at age 14.

- 1.95 average lifetime moves
- 48.7% of movers will move again
- 56.5% of movers will return home

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Data: Sources & Coverage

- Hospital data (coverage, time, variables).
- Geographic data (units, merges).
- Worker data (sample definition).

Process of Use (for Each Data Type)

- Cleaning and harmonization steps.
- Linkage logic across sources.
- Key variable definitions.

Table: Summary Statistics (Illustrative)

Group	Mean	SD	N
Hospitals			
Geographies			
Workers			

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Model / Estimating Equation

$$y_{it} = \beta \text{Treat}_{it} + \gamma X_{it} + \alpha_i + \tau_t + \varepsilon_{it} \quad (1)$$

- Units, timing, FE, SEs.
- Interpretation of β and threats to ID.

Summary Statistics & Balance

Table: Summary / Balance (Illustrative)

Variable	Control	Treat	Diff
Outcome (baseline)			
Covariate A			
Covariate B			

Treatment vs. Control (Definition)

- Operational definition of **treatment** and **control**.
- Timing / exposure, staggered adoption if any.
- Sample restrictions and measurement windows.

Alternative Specifications — Preview

- Heterogeneity (hospital size, region, worker type).
- Functional form variants / additional controls.
- Event study / placebo / robustness roadmap.

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Main Results: Table

Table: Main Specification (Illustrative)

	(1)	(2)	(3)	(4)
Treat				
Controls				
FE				
N				
R^2				

:

Side-by-Side Comparisons

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Robustness / Alternative Specs

- Sensitivity to windows / bandwidths.
- Alternative outcomes / subsamples.
- Placebo and permutation checks.

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Conclusion

- **What we learned** — 2–3 bullets.
- **Policy/economic implications.**
- **Limitations** and next steps.

Thank You

Questions?

Roadmap

8 Backup

:

Data Details

- Construction and variable definitions.
- Additional balance / coverage checks.